large and volatile capital inflows, with the result that their exchange rates appreciated out of line with their economic fundamentals, eroding their export competitiveness and threatening their financial stability.

The consistent refrain of emerging markets at the G20 meetings used to be that the unconventional monetary policies of advanced economies were taking a heavy toll on their economies and that advanced economies must factor in this spillover impact in formulating their domestic policies. They argued that these cross-border capital flows were a consequence of globalization—maintaining open borders for trade and finance. Both sides, advanced and emerging economies, benefit from globalization and so both sides also must share the costs of globalization; it is unfair to leave the entire burden of adjustment to emerging markets. Although they did not bluntly make the allegation, emerging markets would strongly suggest that the intent behind QE was for advanced economies to debase their currencies for unfair trade advantage. Otherwise, why would they persist with QE even after it became evident that it failed to deliver the intended results?

Advanced economies, led by the United States, were largely dismissive of these grievances. Their main response used to be that QE was driven entirely by the need to stimulate their domestic economies, and the argument that it was a cover for deliberately debasing their currencies for export advantage was vacuous. They did not deny the existence of the spillover impact but would argue that such spillover was an inevitable by-product of their policy effort to revive their domestic economies. Moreover, the argument went, revival of advanced economies is in international public good inasmuch as emerging markets too benefit from that revival through increased demand for their exports. They would add for good measure that emerging markets should set their own houses in order to cope with the forces of globalization rather than find a scapegoat in the domestic policies of advanced economies.

In the context of this debate, here is what Bernanke writes in his book *The Courage to Act* on what he said at the G20 meeting in South Korea in October 2010: ‘I argued that because we are an important trading partner for many countries, the rest of the world would benefit from a stronger US